

Credit cards

The US has a highly developed credit card market, with more than a billion credit cards in use. The credit card market has, however, gone through major changes in recent years.

Credit debt

In 2000, there were 1.4 billion credit cards in circulation. Fast forward 12 years to 2012 and there were 1.17 billion credit cards in circulation, according to data from the US Census Bureau. The number of credit cards decreased during the recession years, which occurred around 2008 to 2010. Today, issuers are pickier about who they approve for a card, and many young adults are postponing the use of credit.

The average credit card debt per household is \$9,600. In 2009, during the recession, 44 percent of Americans were carrying a balance. In 2014, the proportion of Americans carrying a balance was down to 34 percent. Those who carry a balance pay interest on their balances. This compound interest can increase the debt on the card quickly.

Calculating interest

Interest on accounts that are not paid in full can be calculated in a few different ways. The most commonly used methods are “average daily balance” and “daily balance.” With average daily balance, the interest charged depends on whether the credit card company adds in new purchases or excludes them. With daily balance, the company charges interest for each day’s balance and then adds it together to get the total finance charge.

Credit card companies don’t start charging interest on credit cards as soon as a purchase is made unless the card is already carrying a balance. There’s an interest-free grace period of between 21 and 25 days, which is the time between the purchase date and the payment due date. This offers consumers an interest-free period. But this is only applicable if the balance of each payment cycle starts at zero.

Credit CARD Act

The Credit CARD Act of 2009 offered significant new consumer protections. Credit card issuers were no longer permitted to do many activities, including the following: suddenly raise annual percentage rates (APRs) without a 45-day notification, inflict retroactive rate increases on an outstanding balance (except under certain circumstances), charge special fees on subprime cards, and give away “freebies” on college campuses.

The CARD Act helps to protect college students by prohibiting issuers from giving credit cards to anyone under 21 unless they have the income to pay back any debt. Issuers are no longer allowed to set up tents on campuses and give away incentives to get students to sign up for cards.

The Act also made the terms and conditions for credit cards more transparent. Consumers receive clearer due dates than before, explanations for changes to the terms, and the right to have highest-interest balances paid first.